



Grays.com – With confidential information for Chris Gray

This is the second section, which contains private information available only to your role. Do not show this information to anyone else.

Private information for Chris Gray only

You have had the 'Grays.com' domain name since you began your business about five years ago. While the web site has proven valuable, you are now well known in what is, after all, a small town. You don't think it would be hard to redirect your local restaurant and catering customers to a new web site. Moreover, you know from records that almost all out-of-town hits to the site come through the hotel's web site and it would be no problem getting the hotel to link to a new domain name. Still, there are advertising expenses associated with a change. You estimate the total costs of a switch at \$25K.

After the phone call from Kelly Kaplan, you had a discussion with your spouse, and the two of you concluded that Washington is too far away to benefit from any advertising on the Grays site but you might be willing to sell if the price is right.

As to the Washington Grays, you are not a baseball fan, never have been. You did some searching on the web and found that there are already a number of similar sounding web sites (ex., GoGrays.com) that have been registered by businesses that intend to sell tickets to the games second hand. These sights might be confused with the official Washington Grays site (you also discovered that the margins in the middle man ticket business are generally small and so the companies rarely buy domain names at premium prices; i.e., they buy whatever name they can get for \$35 or less). Beyond this, you have no further information than the public information given above.

This note was prepared as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation. Prepared by Prof. Gary Bolton of Smeal and Prof. Jeannette Brosig, University of Magdeburg, Germany with the research assistance of Cornelius Cornelissen, Penn State class of 2006.